

Board of Directors Package

Vanguard Auto Parts — Q4 2023

Board Meeting: February 6, 2024 | Confidential — Board Use Only

Date	February 6, 2024
Location	Atlas Crossing Partners, 2 Embarcadero Center, Suite 1800, San Francisco, CA 94111
Board Members	M. Tang, D. Okafor (Atlas Crossing); B. Harmon (CEO); J. Whitfield, C. Moore (Independent)
Management	B. Harmon (CEO); T. Nguyen (CFO); S. Park (COO); M. Ellis (SVP Sales)
Deal Team	M. Tang (MD), D. Okafor (Principal), N. Patel (VP), A. Ross (Associate)

Agenda

1. Call to order and quorum confirmation
2. Approval of prior meeting minutes
3. Executive Summary and highlights
4. Financial performance review
5. Operational KPI update
6. Strategic initiatives status
7. Risk review
8. Next quarter outlook
9. Other business / adjourn

Executive Summary

Vanguard Auto Parts delivered Q4 2023 revenue of \$227.1M and EBITDA of \$21.8M (9.6% margin), ahead of budget by 3.1%. Southwest Auto Depot identified as next bolt-on target — management presentation held and LOI under negotiation.

Financial Performance

Metric	Q4 2023 Actual	Budget	Var. to Bud.	Prior Year Qtr	YoY
Revenue	\$227.1M	\$220.3M	+3.1%	\$206.1M	+10.2%
Gross Profit	\$56.1M	—	—	—	—
Gross Margin %	24.7%	—	—	—	—
EBITDA	\$21.8M	\$20.7M	+5.3%	\$19.0M	+14.7%
EBITDA Margin %	9.6%	—	—	—	—
D&A	(\$6.2M)	—	—	—	—
EBIT	\$15.6M	—	—	—	—
Interest	(\$8.7M)	—	—	—	—
Net Leverage	5.1x	—	—	Entry: 6.8x	—
LTM EBITDA	\$86.3M	—	—	Entry: \$52.7M	—

Operational KPIs

KPI	Current Quarter	Entry Baseline	Target
E-commerce % of Revenue	19.8	8.0	Target: 28.0
SKU Count (active)	221,000.0	182,000.0	Target: 248,000.0
Warehouse Locations	17.0	12.0	Target: 19.0
Fill Rate %	96.3	94.2	Target: 97.8

Strategic Initiatives

Initiative	Status	Detail
Southeast integration	Completed Q1	Fully integrated; \$4.8M annualized synergies captured
E-commerce: mobile app	Launched Q1	Mobile app live; 22% of e-commerce orders via app; 5K app downloads
Private label expansion	Scaling	38 SKUs; 6.2% of revenue; targeting 10% by YE 2024
Southwest Auto eval.	Advanced	LOI signed Q4 2023; diligence underway; close target Q3 2024

Key Risks & Mitigation

Risk	Severity	Mitigation
Southwest integration	Low	Third bolt-on; seasoned IMO team; Detroit playbook refined
E-commerce competition	Medium	Amazon Business expanding in aftermarket; Vanguard's SKU depth and fill rate are key differentiators
Labour market	Low	DC operator wages +4% offset by routing efficiency gains

Next Quarter Outlook

Q1 Q1 2024 expected \$230.3M. Southwest close expected Q3 2024. Private label targeting 8% by Q3 2024. Exit preparation IC review Q1 2024.

Confidential — prepared for the Board of Directors of Vanguard Auto Parts and Atlas Crossing Partners. Not for distribution.